

9-1a The Equilibrium without Trade

As our story begins, the Isolandian textile market is isolated from the rest of the world. By government decree, no one in Isoland is allowed to import or export textiles, and the penalty for violating the decree is so large that no one dares try.

Because there is no international trade, the market for textiles in Isoland consists solely of Isolandian buyers and sellers. As [Figure 1](#) shows, the domestic price adjusts to balance the quantity supplied by domestic sellers and the quantity demanded by domestic buyers. The figure shows the consumer and producer surplus in the equilibrium without trade. The sum of consumer and producer surplus measures the total benefits that buyers and sellers receive from participating in the textile market.

Figure 1

The Equilibrium without International Trade

When an economy cannot trade in world markets, the price adjusts to balance domestic supply and demand. This figure shows consumer and producer surplus in an equilibrium without international trade for the textile market in the imaginary country of Isoland.

Now suppose that, in a political upset, Isoland elects a new president. After campaigning on a platform of “change” and promising bold new ideas, the president’s first act is to assemble a team of economists to evaluate Isolandian trade policy. She asks them to report on three questions:

- If the government allows Isolandians to import and export textiles, what will happen to the price of textiles and the quantity of textiles sold in the domestic textile market?

- Who will gain from free trade in textiles and who will lose, and will the gains exceed the losses?
- Should a tariff (a tax on textile imports) be part of the new trade policy?

After reviewing supply and demand in their favorite textbook (this one, of course), the Isolandian economics team begins its analysis.

Chapter 9: Application: International Trade: 9-1a The Equilibrium without Trade

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